NOTE 7. INCOME TAXES (PROVISION) BENEFIT

Income tax (provision) benefit, which has been computed on a separate return basis, consists of the following:

	YEAR ENDED DECEMBER 31,		
	1999	2000	2001
	(THOUSANDS)		
Federal-- deferred	$(13,682)	$ 5,423	$(10,386)
State and local:			
Current	(750)	(1,116)	(1,046)
Deferred	(450)	2,052	413
Total state and local	(1,200)	936	(633)
Income tax (provision) benefit	$(14,882)	$ 6,359	$(11,019)

NOTE 7. INCOME TAXES (PROVISION) BENEFIT -- (CONTINUED)

The differences between the income tax (provision) benefit computed by applying the statutory Federal income tax rate to pre-tax income, and the income tax (provision) benefit reflected in the Consolidated Statements of Operations are as follows:

	YEAR ENDED DECEMBER 31,		
	1999	2000	2001
	(THOUSANDS)		
Statutory (provision) benefit	$(14,077)	$ 6,015	$(10,423)
Impact of:			
State and local taxes, net of Federal benefits	(780)	608	(413)
Nondeductible goodwill amortization	(275)	(185)	(286)
Other, net	250	(79)	103
Income tax (provision) benefit	$(14,882)	$ 6,359	$(11,019)

The components of the net deferred tax assets are as follows:

	DECEMBER 31,	
	2000	2001
	(THOUSANDS)	
Deferred tax liabilities related to property, plant and equipment	$ (9,449)	$(24,604)
Deferred tax assets related to:		
Expenses not yet deducted for tax purposes	42,154	36,351
Net operating losses not yet utilized under the Tax Sharing Agreement	10,192	21,177
Total deferred tax assets	52,346	57,528
Net deferred tax assets	$ 42,897	$ 32,924

As of December 31, 2001, the Company had $57.2 million of net operating loss carryforwards available to offset future taxable income, as follows:

YEAR OF EXPIRATION	(THOUSANDS)
2011	$ 2,088
2020	55,147
Total net operating loss carryforwards	$57,235

Management has determined, based on the Company's history of prior earnings and its expectations for the future, that future taxable income will more likely than not be sufficient to utilize fully the deferred tax assets recorded.

As of December 31, 2000 and 2001, included in current assets is a tax receivable from parent corporations of $1.5 million and $0, respectively, and included in long-term assets is a tax receivable from parent corporations of $7.5 and $9.0 million, respectively, representing amounts paid to G-I Holdings under the Tax Sharing Agreement (as defined below), as amended, which the Company will apply under the Tax Sharing Agreement against future tax sharing payments due G-I Holdings over the next several years based on current income estimates.

NOTE 7. INCOME TAXES (PROVISION) BENEFIT -- (CONTINUED)

The Company and its subsidiaries entered into a tax sharing agreement (the "Tax Sharing Agreement") dated January 31, 1994 with G-I Holdings with respect to the payment of federal income taxes and related matters. During the term of the Tax Sharing Agreement, which is effective for the period during which the Company or any of its domestic subsidiaries is included in a consolidated federal income tax return for the G-I Holdings consolidated tax group, the Company is obligated to pay G-I Holdings an amount equal to those federal income taxes it would have incurred if the Company, on behalf of itself and its domestic subsidiaries, filed its own federal income tax return. Unused tax attributes will carry forward for use in reducing amounts payable by the Company to G-I Holdings in future years, but cannot be carried back. If the Company ever were to leave the G-I Holdings consolidated tax group, it would be required to pay to G-I Holdings the value of any tax attributes to which it would succeed under the consolidated return regulations to the extent the tax attributes reduced the amounts otherwise payable by the Company under the Tax Sharing Agreement. Under limited circumstances, the provisions of the Tax Sharing Agreement could result in the Company having a greater liability under the agreement than it would have had if it and its domestic subsidiaries had filed its own separate federal income tax return. Under the Tax Sharing Agreement, the Company and each of its domestic subsidiaries are responsible for any taxes that would be payable by reason of any adjustment to the tax returns of G-I Holdings or its subsidiaries for years prior to the adoption of the Tax Sharing Agreement that relate to the Company's business or assets or the business or assets of any of its domestic subsidiaries. Although, as a member of the G-I Holdings consolidated tax group, the Company is severally liable for certain federal income tax liabilities of the G-I Holdings consolidated tax group, including tax liabilities not related to its business, the Company should have no liability, under any circumstances, other than liabilities arising from the Company's operations and the operations of its domestic subsidiaries and tax liabilities for tax years pre-dating the Tax Sharing Agreement that relate to the Company's business or assets and the business or assets of any of our domestic subsidiaries. The Tax Sharing Agreement provides for analogous principles to be applied to any consolidated, combined or unitary state or local income taxes. Under the Tax Sharing Agreement, G-I Holdings makes all decisions with respect to all matters relating to taxes of the G-I Holdings consolidated tax group. The provisions of the Tax Sharing Agreement take into account both the federal income taxes the Company would have incurred if it filed its own separate federal income tax return and the fact that the Company is a member of the G-I Holdings consolidated tax group for federal income tax purposes.

On September 15, 1997, G-I Holdings received a notice from the Internal Revenue Service (the "IRS") of a deficiency in the amount of $84.4 million (after taking into account the use of net operating losses and foreign tax credits otherwise available for use in later years) in connection with the

formation in 1990 of Rhone-Poulenc Surfactants and Specialties, L.P. (the "surfactants partnership"), a partnership in which G-I Holdings held an interest. G-I Holdings has advised the Company that it believes that it will prevail in this tax matter, although there can be no assurance in this regard. The Company believes that the ultimate disposition of this matter will not have a material adverse effect on its business, financial position or results of operations. On September 21, 2001, the Internal Revenue Service filed a proof of claim with respect to such deficiency against G-I Holdings in the G-I Holdings bankruptcy. If that proof of claim is sustained, the Company and/or certain of the Company's subsidiaries together with G-I Holdings and several current and former subsidiaries of G-I Holdings would be severally liable for a portion of those taxes and interest. If the IRS were to prevail for the years in which the Company and/or certain of its subsidiaries were part of the G-I Holdings Group, the Company would be severally liable for approximately $40.0 million in taxes plus interest, although this calculation is subject to uncertainty depending upon various factors including G-I Holdings' ability to satisfy its tax liabilities and the application of tax credits and deductions.